



April 8, 2024

Office of Governor Wes Moore
100 State Circle
Annapolis, MD 21401

RE: VETO REQUEST – MARYLAND ONLINE DATA PRIVACY ACT OF 2024 (SB 541)

Dear Governor Moore:

We write to respectfully request that you **VETO** the Maryland Online Data Privacy Act of 2024 under SB 541 (hereinafter, “MODPA”).¹ As drafted, MODPA represents the most onerous and restrictive approach to data privacy in the United States to date, standing in stark contrast to the approach taken by 17 other states that have already enacted privacy legislation. The bill’s limitations on data collection are likely to result in significant degradation of beneficial products and services for Maryland consumers and harm local businesses. Below we provide a non-exhaustive list of key and significant issues with MODPA that, if left unresolved by a veto from your office, will hinder Marylanders’ access to online resources and significantly impair business operations in the state.

- **Overly Restrictive Data Collection Limitations.** MODPA would require businesses to limit the collection of personal data to what is reasonably necessary and proportionate to provide a product or service requested by the consumer.² This restriction would significantly restrict Maryland businesses from using data for any purpose other than servicing the specific product or service requested by the consumer. Under the bill, a Maryland business could not use data to develop new products or services for that customer or market its products, services, or discounts to that customer. The data collection limitation would also eliminate access to third-party data needed by Maryland businesses to reach new customers and better serve existing customers. The provision would create an environment where consumers in neighboring states, such as Virginia and Delaware, will enjoy access to services that will be unavailable to consumers in Maryland. Unfortunately, the provision will disproportionately impact small, start-up, and mid-size Maryland businesses that rely on access to data to reach audiences for new and niche products, making neighboring states more friendly to small and mid-size businesses than Maryland.
- **Sensitive Data.** MODPA would flatly ban any “sale” (*i.e.*, transfer) of sensitive data without exception.³ This onerous restriction—included in no other state privacy law to date—would significantly impair if not eliminate products and services Marylanders rely on to receive benefits

¹ Maryland SB 541 (Gen. Sess. 2023), located [here](#).

² *Id.* at § 14-4607(B)(1)(I).

³ *Id.* at § 14-4607(A)(2).

related to sensitive data characteristics. For example, the ban would impair vital public interests, including, for instance, tailoring public-safety messages to underserved communities or government agencies' efforts to advance fair lending and fair housing laws by identifying communities of people who are underserved.⁴ Virtually every beneficial service provided to consumers depends on some sort of data transfer capability to function. As a result, MODPA's proposed flat ban on *any* transfer of sensitive data without restriction will result in the decimation of products and services Marylanders benefit from that process sensitive data, including services that underserved communities rely on to receive helpful and tailored benefits.

- **Potential for Private Right of Action.** The business community and legislators agreed that a private right of action should not be included in MODPA. However, as passed, MODPA's ambiguous language introduces the threat of a private right of action by failing to explicitly clarify that it permits Attorney General enforcement only. The bill's enforcement mechanisms are further complicated by its explicit statement that MODPA's terms "do not prevent a consumer from pursuing any other remedy provided by law."⁵ Such confusing language opens the door to the filing of private lawsuits or class action lawsuits for bill violations, which would flood Maryland's courts with frivolous claims brought by opportunistic plaintiff's law firms. Businesses will thus face a threat of private litigation in contravention of good-faith discussions with legislators and with no time left in the session to address the ambiguity in the bill's text.

Bills like MODPA that are likely to impact both a large volume of consumers and a great portion of the economy should be carefully calibrated to ensure strong consumer protection while allowing beneficial offerings that depend on data to persist. While we agree that Maryland consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry practices, MODPA would codify unnecessary restrictions and avoidable ambiguities that will hinder Marylanders' ability to access vital services in the marketplace.

We strongly urge you to **VETO SB 541**.

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Thank you for your consideration of this request.

⁴ See Centers for Disease Control and Prevention, *Health Equity Considerations & Racial & Ethnic Minority Groups* (Jul. 24, 2020), located at <https://www.cdc.gov/coronavirus/2019-ncov/community/health-equity/race-ethnicity.html>.

⁵ *Id.* a § 14-4613(B).

Sincerely,

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